

So coming back to expectations, the safest bonds are those issued by the government and they offer the lowest returns of all fixed-income assets. These offer a return that is in line with the standard fixed deposit rates. Second, good corporate bonds are slightly riskier than the former. Hence, the return is also slightly higher than government bonds. Lastly, bonds issued by smaller corporates are riskier and therefore offer higher returns.

As the quality of the issuer keeps going down, the rate of return keeps going up. At the end of the spectrum is junk bonds or bonds of companies with a very poor financial position. Their bonds are bought due to the high returns they promise and require close monitoring and are beyond the scope of this book. We can opt for each of these kinds via the indirect route i.e., via mutual funds.

